

ABSTRACT

The increasing emphasis on Environmental, Social, and Governance (ESG) has led to a proliferation of ESG rating agencies, each employing distinct methodologies, weightages, and evaluation criteria. These agencies source information from a diverse array of channels including company websites, annual and sustainability reports, media coverage, regulatory disclosures, NGO publications, and stock exchange filings etc. However, the absence of a globally uniform standard for ESG reporting introduces significant challenges in ensuring consistency, comparability, and reliability of ESG scores across jurisdictions. Current rating practices are often transaction-centric and fail to account for systemic factors, particularly for multinational organisations operating in varied regulatory environments. Country-specific considerations are frequently overlooked, resulting in assessments that do not adequately reflect the nuanced ESG performance in different markets.

This book proposes the ESG Quanta Calibrator, a novel approach to ESG rating that addresses these shortcomings by integrating all relevant assessment criteria and assigning appropriate weightages to environmental, social, and governance factors according to each country's context. The methodology incorporates globally recognised country-specific indices, ensuring that the evaluation reflects both the local operating environment and the scale of a company's activities within each jurisdiction. The resulting Global ESG Score (GS) is calculated as the sum of the products of each country's ESG score (CS_i) and the company's business volume (BV_i) in that country:

$$GS = \Sigma (CS_i \times BV_i)$$

$$\text{Global ESG Score} = \Sigma (\text{Country ESG Score} * \text{Country's Business volume})$$

This holistic formula enables stakeholders—including shareholders, employees, business partners, and government bodies—to access a measurable, testable, and credible ESG performance. By providing a transparent and rigorous framework, the ESG Quanta Calibrator offers a robust solution to the emerging paradox of ESG evaluation, facilitating improved decision-making and fostering greater accountability in corporate sustainability efforts.